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China Materials | Asia Pacific

June Trade Data: Aluminium Exports Continue to Rise

Aluminium product exports rose 45% YoY; steel exports also increased 7% YoY.

Steel exports in June grew 7% YoY, flat MoM to 10.3Mt. Exports for 1H26 totaled 54.9Mt, -5.6% YoY. Daily production at CISA member mills declined 3.5% YoY in June (vs -4.4% YoY in May). Assuming similar YoY trends for nationwide total crude steel output, we estimate apparent steel consumption was -9% YoY/-5.8% MoM in June. MTD steel exports remained at a high level in July.

China's imports of copper and copper products (refined + alloys) totalled 478kt in June, up 7% MoM and 3% YoY. The import arbitrage opened intermittently despite rising copper prices, and net refined copper imports reached the highest since September 2025 in May. The Yangshan premium pulled back modestly during the month but has since rallied to \$90/t, the highest since early 2025, indicating continued solid physical demand. Copper ore and concentrate imports declined 1% MoM and YoY to 2.34Mt, while treatment charges continued to fall as strong sulfuric acid prices supported smelter margins.

Aluminium product exports rose 13% MoM and 45% YoY to 711kt in June, an all time high. Aluminium prices moderated during the month, lowering the export arbitrage which may weigh on July exports. Chinese inventories have begun to decline, particularly as semis exports increased.

China's iron ore imports totalled 113Mt in June, up 15% MoM and 6% YoY. Port inventories in China stabilized during the month. Pig iron production at steel mills is down 2% YTD, compared with a 4% YTD decline in crude steel output.

Coal imports up 29% YoY and 29% MoM in June to 43Mt. Total coal imports in 1H26 were up 2% YoY to 225mnt. The import volume in June was higher than market expectations. We think the higher volume was driven by expectations of better demand in the summer peak consumption season and the opening of an arbitrage window in June. The import volume in July is likely to stay high.

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GREATER CHINA MATERIALS	
Asia Pacific Industry View	Attractive
CHINA COAL	
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Additional Trade Data Comments

Exhibit 1: China: June 2026 trade data

June 2026 Trade data	June 2025 - June 2026	Jun-26	May-26	Apr-26	Mar-26	Jan+Feb 2026	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	2026YTD
Finished Steel Imports (kt)		441	451	465	512	827	517	496	503	548	500	452	470	2,696
Change %, YoY		-6%	-6%	-11%	2%	-21%	-17%	5%	-6%	-1%	-2%	-10%	-18%	-11%
Change %, MoM		-2%	-3%	-9%	39%	NA	4%	-1%	-8%	10%	11%	-4%	-2%	NA
Finished Steel Exports (kt)		10,320	10,341	9,498	9,135	15,591	11,301	9,980	9,782	10,465	9,510	9,836	9,678	54,874
Change %, YoY		7%	-2%	-9%	-13%	-8%	16%	8%	-13%	3%	0%	26%	11%	-6%
Change %, MoM		0%	9%	4%	17%	NA	13%	2%	-7%	10%	-3%	2%	-9%	NA
Iron Ore Imports (mnt)		113	98	104	105	210	120	111	111	116	105	105	106	629
Change %, YoY		6%	0%	1%	11%	10%	6%	9%	7%	12%	4%	2%	9%	6%
Change %, MoM		15%	-6%	-1%	7%	NA	8%	-1%	-4%	11%	1%	-1%	8%	NA
Copper and Products Imports (kt)		478	446	452	416	700	437	427	438	485	425	480	464	2,491
Change %, YoY		3%	4%	3%	-11%	-16%	-22%	-19%	-13%	1%	2%	10%	6%	-5%
Change %, MoM		7%	-1%	9%	32%	NA	2%	-3%	-10%	14%	-11%	3%	9%	NA
Copper Ores & Concentrates Imports (kt)		2,335	2,361	2,352	2,630	4,934	2,704	2,526	2,451	2,587	2,759	2,560	2,350	14,609
Change %, YoY		-1%	-1%	-20%	10%	5%	7%	13%	6%	6%	7%	18%	2%	-1%
Change %, MoM		-1%	0%	-11%	14%	NA	7%	3%	-5%	-6%	8%	9%	-2%	NA
Aluminum and Products Exports (kt)		711	632	598	485	971	545	570	503	521	534	542	489	3,396
Change %, YoY		45%	16%	15%	-4%	13%	8%	-15%	-13%	-7%	-10%	-8%	-20%	16%
Change %, MoM		13%	6%	23%	13%	NA	-4%	13%	-3%	-2%	-1%	11%	-11%	NA
Coal Imports (mnt)		43	33	33	39	77	59	44	42	46	43	36	33	225
Change %, YoY		29%	-8%	-13%	1%	1%	12%	-20%	-10%	-3%	-7%	-23%	-26%	2%
Change %, MoM		29%	1%	-15%	26%	NA	33%	6%	-9%	8%	20%	8%	-8%	NA

Source: General Administration of Customs, Morgan Stanley Research.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb19.62
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.36
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb33.08
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.47
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb192.01
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb52.56
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb46.15
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb41.40
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$23.00
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$17.00
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.39
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.25
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$7.57
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.59

Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb24.68
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb12.25
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$8.83
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb43.40
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb8.86
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$8.23
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.60
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb17.22
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb10.74
China Jushi (600176.SS)	O (12/22/2020)	Rmb54.52
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$3.82
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.50
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$15.95
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb18.21
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb38.27
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$25.38
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.08
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb52.55
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$41.72
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb75.29
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb20.46
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$32.18
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb43.85
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$16.86
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb27.26
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$7.57
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb25.26
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$18.38
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.16
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$34.16
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb47.35
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb7.63
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$18.55
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$103.00
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$30.50
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb29.06

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: China Coal

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Hannah Yang, CFA		
China Coal Energy Co., Ltd. (601898.SS)	E (03/16/2026)	Rmb13.25
China Coal Energy Co., Ltd. (1898.HK)	O (03/16/2026)	HK\$10.24
China Shenhua Energy (1088.HK)	O (11/02/2017)	HK\$42.30
China Shenhua Energy (601088.SS)	E (04/04/2019)	Rmb43.42
Shaanxi Coal Industry (601225.SS)	O (03/16/2026)	Rmb24.55
Shanxi Coking Coal (000983.SZ)	E (10/26/2021)	Rmb6.35
Yancoal Australia Ltd (3668.HK)	O (03/16/2026)	HK\$30.20
Yankuang Energy Group Co Ltd (1171.HK)	O (03/16/2026)	HK\$11.03
Yankuang Energy Group Co Ltd (600188.SS)	E (03/16/2026)	Rmb19.23
Rachel L Zhang		
Shougang Fushan Resources Group Limited (0639.HK)	O (09/15/2022)	HK\$2.24

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* Historical prices are not split adjusted.

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